

the PIPELINE publication

Volume 6 ❖ February 2014

INDUSTRIAL COMMISSION OF NORTH DAKOTA PIPELINE AUTHORITY

Governor
Jack Dalrymple

Attorney General
Wayne Stenehjem

Agriculture Commissioner
Doug Goehring

Director
Justin J. Kringstad

Increased Flaring Explained

The December 2013 production report highlighted a monthly increase in flaring from 30% to 36%. This increase can be attributed to two major factors. First, the Hess Tioga gas processing plant shutdown in late November for expansion work. The second factor contributing to the increase was the extreme cold that hit the state in December. This cold snap reduced the ability of gathering companies to get new wells connected to pipeline infrastructure and proved to be an operational challenge in keeping natural gas liquids cleared from pipelines and preventing surface facility freeze-up.

Successful Open Season for Sandpiper Pipeline

In a February 12, 2014 filing with the Federal Energy Regulatory Commission (FERC), North Dakota Pipeline Company (NDPC), a subsidiary of Enbridge Energy Partners, outlined the details of their recent successful open season. The open season, which closed on January 24, 2014, received 155,000 BOPD of firm shipper commitments. These firm commitments provide the financial backstop necessary to proceed with the project. The remaining space on the 225,000 BOPD pipeline will be available to "spot" or uncommitted shippers.

With the open season hurdle cleared, several regulatory approvals will be necessary before construction on the 24 inch, $2.6 billion project begins. NDPC will work with the North Dakota Public Service Commission and the Minnesota Public Utilities Commission for route determination in both states. NDPC has asked FERC to rule on their recent filing no later than May 15, 2014. The current timeline has the pipeline being placed into service in 2016.

North Dakota Impact

Recognizing that oil production from North Dakota is expected to continue to grow, expanding the pipeline network out of the region is vital to the long term development in the state. The Sandpiper project is the largest crude oil pipeline project in development for North Dakota and would provide pipeline service to key markets in the Midwest, Gulf Coast, and Eastern Canada.

NORTH DAKOTA — Production Numbers

:: www.pipeline.nd.gov

Average Daily Oil Production, BOPD		
Oct. 2013	Nov. 2013	Dec. 2013
945,458	976,453	923,227

Average Daily Gas Production, MMCFD		
Oct. 2013	Nov. 2013	Dec. 2013
1,068.6	1,085.3	991.3

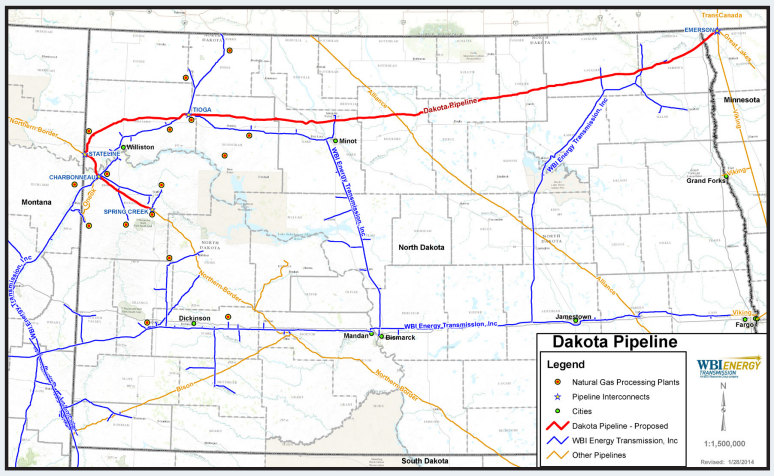
Average Rig Count		
Oct. 2013	Nov. 2013	Dec. 2013
183	184	190

As of February 25, 2014, there are 190 active rigs in North Dakota.

Header image courtesy of the North Dakota Department of Commerce.

WBI Energy Open Season

On January 30, 2014, WBI Energy announced they were holding an open season for a 24 inch, 375 mile natural gas pipeline from western North Dakota to a hub near Emerson, MN. With an initial design of 400 million cubic feet per day (expandable to 500 million cubic feet per day), the proposed "Dakota Pipeline" could interconnect with other regional pipelines operated by Great Lakes Gas Transmission, Viking Gas Transmission, and TransCanada Pipelines.



North Dakota Impact

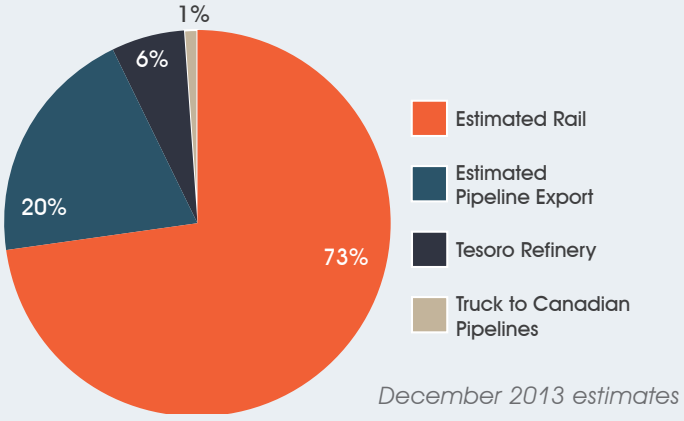
In order to reduce the volume of natural gas flaring in North Dakota, three major infrastructure components must be in place and include gathering, processing, and transmission. The Dakota Pipeline addresses the transmission component and would allow processed natural gas increased access out of North Dakota to major Midwest markets.

North Dakota Pipeline Authority
State Capitol, 14th Floor
600 E. Boulevard Ave. Dept. 405
Bismarck, ND 58505-0840

PIPELINE FACTOID

Of the 2,470 miles of North Dakota pipeline placed into service in 2012, an estimated 2,200 miles of that are used for the gathering of natural gas and other produced fluids. The 2013 statistics will not be available until Q3 2014.

Estimated Williston Basin Oil Transportation



December 2013 estimates

811 Know what's below. Call before you dig.

North Dakota Pipeline Authority
State Capitol 14th Floor | 600 E. Boulevard Ave. Dept. 405 | Bismarck, ND 58505-0840
Phone: (701) 220-6227 | Fax: (701) 328-2820 | Email: jjkringstad@ndpipelines.com | www.pipeline.nd.gov